



Case Study: Redesign our Xero Partner Program

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AGENDA

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STRATEGIC OVERVIEW

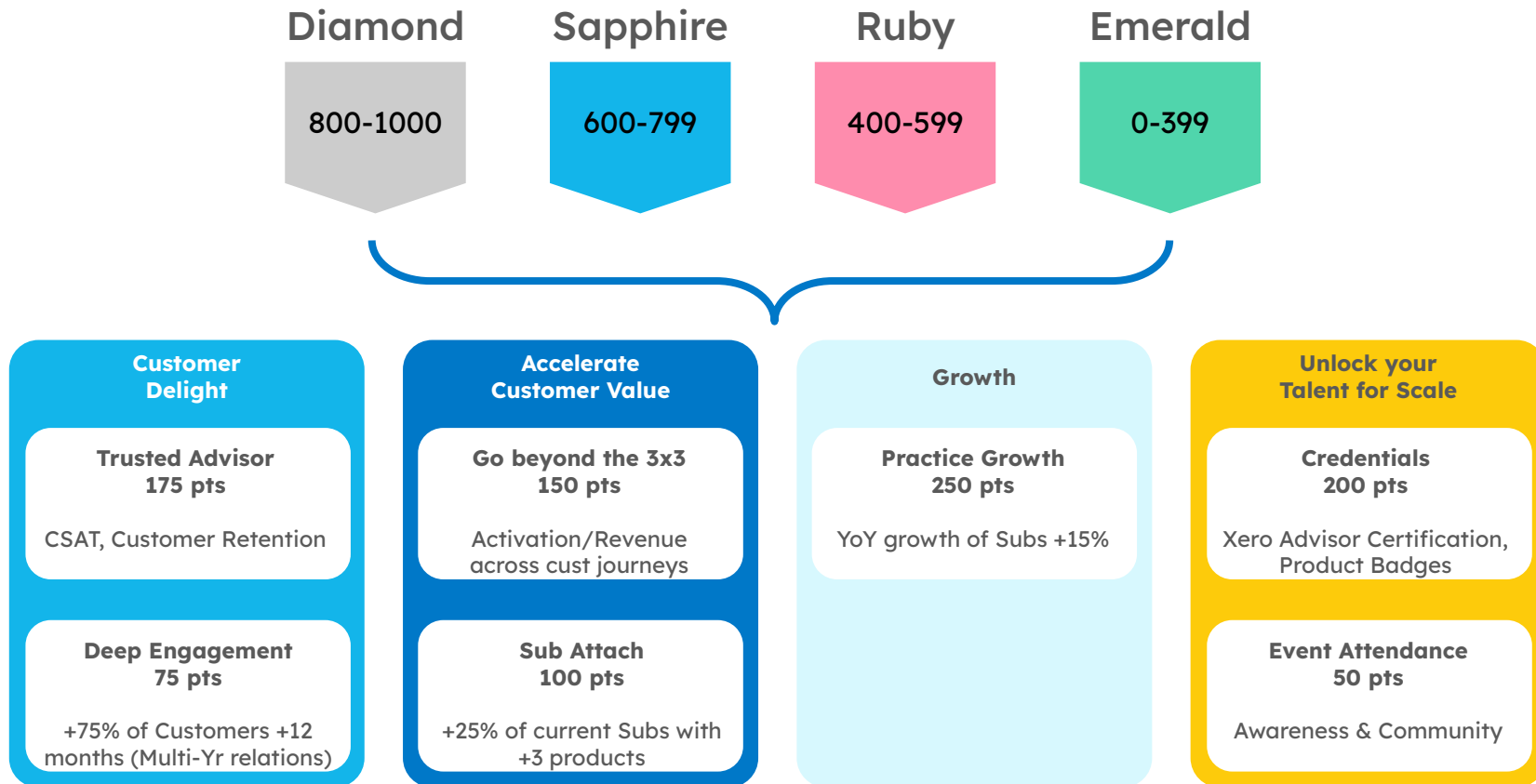
Hypothesis:

Xero's Partner Program will grow faster than FY25 (22% YoY) and maintain Rule of 40 through a redesign to **Partner Experience / Customer Value KPIs** & wide availability of **Empowerment funding** (PDF, etc) as core differentiators between Partner tiers, reducing complexity.

How this redesign advances Xero's goals

- Aligns to Xero's FY25-27 GTM strategy: customer-centric, ecosystem-powered, value-driving.
- Drives both ARPU and partner-led subscriber growth in core markets (AU, UK, US).
- Improves partner engagement, especially in small and mid-sized firms (ABs).
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PROGRAM ALIGNS TO EXPERIENCES & OUTCOMES



REDUCE BARRIERS TO XERO HQ → VALUE ADD

Existing Partner Benefits - [Link](#)

Challenge

Proposal

Partner program benefits

As a partner of Xero you can get free software, training, promotional material, dedicated support and so much more. We're on the same team – it's a true partnership.

	1-24	25-74	75-299	300-999	1000+
Xero partner points					
Beautiful software to work the way you want					
Membership of the Xero partner program	✓	✓	✓	✓	✓
Free subscription to Xero to run your practice	✓	✓	✓	✓	✓
Xero Tax to prepare and file client tax returns		✓	✓	✓	✓
Xero Practice Manager to manage work and time			✓	✓	✓
Xero Workpapers to manage your workpapers online			✓	✓	✓
Make it easy to serve your clients with the right support and consulting					
A dedicated Xero account manager	✓	✓	✓	✓	✓
Contact us anytime: get expert advice 24/7 via Xero support	✓	✓	✓	✓	✓
Access to conversion tools for helping clients move to Xero	✓	✓	✓	✓	✓
Access to Xero partner consultants for conversions and technical accounting queries	✓	✓	✓	✓	✓
Expert assistance with conversions of 10 to 100+ clients (business plan required)	✓	✓	✓	✓	✓
Resources to differentiate and grow your practice					
Xero certification to distinguish yourself and your team	✓	✓	✓	✓	✓
Eligible for Xero achievement badges/awards	✓	✓	✓	✓	✓



- Differentiation is driven by the availability of:
- Xero Tax
 - Xero Practice Manager
 - Xero Workpapers
 - Advisor Listing
 - Accelerators



Open all Tiers to Xero Practice Manager → Embed value into the platform → Simplify



PROGRAM BENEFITS

	Diamond 800-1000	Sapphire 600-799	Ruby 400-599	Emerald 0-399
Make sure you can use the world to its fullest	X	X	X	X
AAA	X	X	X	X
AAA	X	X	X	X
AAA	X	X	X	X
AAA	X	X	X	X
AA	X	X		
AAA	X			
AAA	X			



PROGRAM BENEFITS FOCUS ON EMPOWERMENT & ROI

Diamond

800-1000

Sapphire

600-799

Ruby

400-599

Emerald

0-399

Access to Xero HQ / Practice Manager → Drive Value Add primarily via JAX enhancement	X	X	X	X
Discounted Ecosystem App access for customers	X	X	X	X
Win the 3x3 Incentive → Playbooks & Agentic Workflows via JAX to help ABs deeply penetrate customer base	X	X	X	X
Beyond 3x3 Incentive → Partner Development Funds, focused on branded Webinars & Marketing Outreach	X	X	X	
Dedicated Product & Technical Support	X	X		
Access to Strategic Alliances & Ecosystem Development with Xero (early access, etc)	X			

PROGRAM BENEFITS AMPLIFY FY25-27 STRATEGY

Benefit / Incentive	Rationale	KPI Impact
Access to Xero HQ / Practice Manager	• Insights into practice to drive CSAT • Push content & AI workflows	• LTV per sub • Improved CAC months
Discounted Ecosystem App access	• Increase value of ecosystem via usage & discovery (guided access)	• Increased ARPU • Improved LTV per sub
Win the 3x3 Incentive	• Core Strategic outcome (flywheel)	• Increased Subscribers • Increased ARPU
Beyond 3x3 Incentive	• Accelerate usage and stickiness of adjacent value streams	• Increased Net Additions • Reduced AB Churn
Dedicated Product & Technical Support	• Highest area of dissatisfaction from ABs → Guide and support	• Reduced AB Churn • Improved CSAT (Partner & Cust)
Strategic Alliances & Ecosystem Development	• Competitive differentiator • Accelerate International presence	• Increased ARPU • Thought Leadership & creation of value

COMMERCIAL ANALYSIS

Revenue Uplift Scenario Assumptions

- Consistent global outlook as FY25
- Consistent Xero strategy focused on Product Mix and Winning the 3x3
- Assumption that all key X-Function roles are filled and at ~80% capacity (to allow for growth)
- Assumption that Xero's future product roadmap is delivered to market as scheduled to allow for continued leverage

Uplift = High

- Growth ANZ = +25% (vs 21% FY25)
- Assume growth in Subs in the 10%-11% range
- ARPU = +20% to \$54.10 by Mar 26 → Expansion of 3x3 initiative
- Mix is driven by shift to 12% mix of Platform and 87% Core Accounting
- Reduction of lead gen costs offset by increases in AI workflow support

Uplift = Medium

- Growth ANZ = +22% (vs 21% FY25)
- Assume flat growth of Subs (+9% YoY)
- ARPU = +15% to \$51.80 by Mar 26 → Expansion of 3x3 initiative to a lesser amount
- Mix remains steady at 11% Platform and 88% Core Accounting
- Investment required to bolster AI efforts outside of smaller reduction of Lead Gen (slower update)

Uplift = Low

- Growth ANZ = +19% (vs 21% FY25)
- Assume slower growth in Subs in the 7%-8% range
- ARPU = +10% to \$49.59 by Mar 26 → Expansion efforts lower than growth in Subs
- Mix remains steady at 11% Platform and 88% Core Accounting
- AI efforts under-utilised, increasing led-gen costs for Channel sourced or attributed

MINDFULNESS OF CHANGING PARTNER WORLD

Potential Blind Spot	Why It Matters	Recommended Solution	
Lack of partner segmentation	Xero serves diverse AB segments with differing value	Tailor incentives by firm size or job-to-be-done (e.g. payroll, tax filing)	Balanced approach of reduced complexity and empowerment requires clarity of messaging with Partners
Neglecting 'lower tiers'	Long tail of low-engagement partners has high churn risk	Offer tiered reactivation campaigns or easy opt-in to re-join programs	
Over-indexing on ARR	Might encourage short-term revenue over product mix quality	Include product diversity, education and retention in scoring	
No tie-in with ecosystem partners	Xero relies heavily on open APIs & 3rd-party integrations	Extend the program to app developers or platform enablers	Seasonal changes to key Partner KPIs to align to high growth opportunities (eg: EOFY, Holiday Trading, etc)
Flat program design	Loyalty doesn't evolve with market	Plan for annual refreshes or special challenges (e.g. "Growth Seasons")	

ADDITION INFO TO MONITOR PERFORMANCE

Source Type

Xero Partner NPS / Satisfaction

Partner contribution to AMRR

Current program redemption rates

Benchmarks: Salesforce, Intuit, HubSpot

Voice of Partner Surveys

Churn vs. Retention by Partner vs. Direct

Purpose

Justify loyalty uplift strategy with sentiment data

Back revenue modeling per partner tier

Highlight missed opportunities in past rewards

Structure incentives & tiering vs. global best practice

Validate proposed reward types and delivery models

Quantify partner value to Xero's Rule of 40 focus

Analytics partnership vital for ensuring additional sources of information are reflected

Creation of new "North Star" KPIs such as *Partner ROI on Empowerment Spend* become norm

X-FUNCTIONAL COORDINATION & EXECUTION

X-Function Partners

- Analytics
- Marketing
- Onboarding / CX
- Sales (Direct)
- Sales (Partner)
- Strategy / Pricing
- Product
- Finance / Billing

Shared KPIs

- CAC Months
- ARPU Growth
- Partner Attributed Sub Growth YoY
- Partner CSAT / Sub CSAT
- Revenue / Empowerment multiple (4x)
- 3x3 Expansion rate (%)

Shared Lenses

- Segment (ANZ / INTL)
- Customer Journey (JTBD)
- Cohort (>12 Months, 1-2 Yrs, etc)
- Partner Tier
- 3x3 Core vs Expansion

Scorecard creation / dashboarding becomes the common language across how each X-Functional partner delivers growth insights and corrective actions. Cadence drives behaviour.

CADENCE DRIVES BEHAVIOUR & OUTCOMES

Cadence

Weekly Partner Sales Forecast

Asana/WMS For Common Context & Tracking

Cross Function QBR

Quarterly Fast Start

Why this is important?

- Pulse-check on expected CQ / CQ+1, etc
- Early signals from market captured

- Engaging on changed priorities and in-flight observations
- SoT for all corrective actions and retros
- Centralised comms

- Readout and alignment on performance
- Agreement on corrective actions w/owners

- Message out to teams on quarterly priorities
- Plan for X-Fcnt support

Expected Outcomes?

- Pulse-check on expected CQ / CQ+1, etc
- VoC/Partner captured

- Reduction in mis-alignment
- One narrative to develop strategy from
- Bottlenecks and blockers easily identified

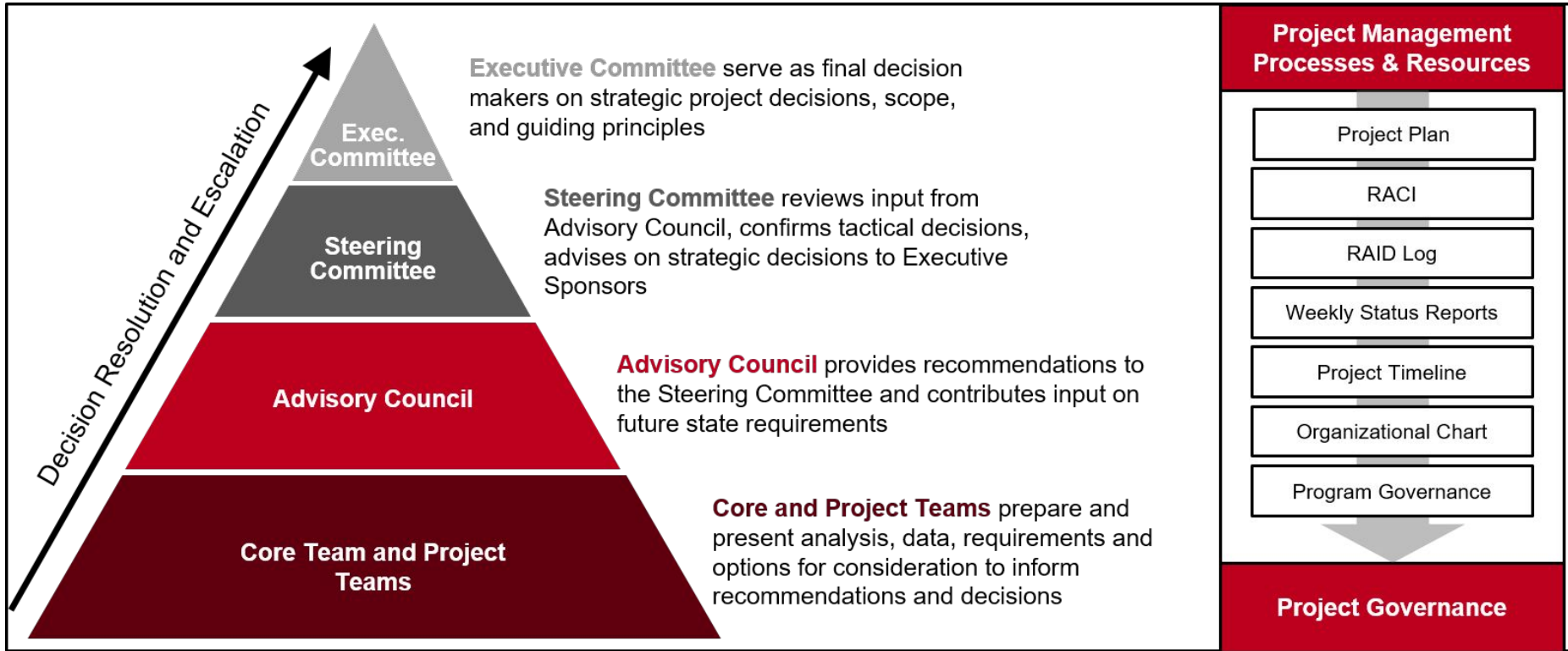
- Review of performance vs Plan
- Ongoing maintenance and adaptation of Partner Program KPIs, measurement and outcomes

- Shared expectations from X-Fcnt partners
- Celebrate wins and create momentum

IMPLEMENTATION TIMELINE

Phase	Month	Milestones
Research & Design	Month 0-1	- Partner surveys, internal alignment (KPIs, Cadence, Steering Council) - Assessment of current Partner install-base against proposed Tiering. Assess for segment drift - Design and test Analytics support
Piloting & Feedback	Month 1-2	- Build program structure, launch with 5-10 key partners
Build Infrastructure	Month 1-2	- CRM updates, rewards engine, empowerment governance
Launch & Evangelise	Month 3	- Full program roll-out
Post-launch Evaluation	Quarterly	- Revenue/retention impact, feedback, iterate with stakeholders

GOVERNANCE



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Q&A